Phase I: Business Process Modeling - Explanation

1. Process Definition and Importance
The selected process for the IkiminaTrack system is the Micro-Loan Request and Disbursement process. The purpose of this process is to provide a transparent, rule-based mechanism for Ikimina members to access micro-loans while protecting the group's capital. The expected outcome is a successfully disbursed loan that updates all financial records and maintains a secure audit trail.

This process addresses the critical problem of manual, paper-based loan tracking, which is highly prone to human error, favoritism, and lost records. It is fundamentally important to the organization because the loan process is the economic engine of the Ikimina; if it fails or is unfair, the group loses trust and financial stability.

2. Actors and Responsibilities
There are four key actors involved in this process:

· Member: Initiates the process by requesting a loan and receives the final disbursed funds.
· Treasurer: Interacts with the system to input the loan request, informs the member of the decision, and physically hands over the funds.
· Chairperson: Reviews and approves loan requests that exceed the set threshold of 500,000 RWF.
· System (Oracle PL/SQL Database): Automatically validates eligibility, routes approvals, updates financial tables, and logs the transaction.

3. Process Flow and Information Movement
The process begins when a member requests a loan, and the Treasurer enters this request into the system. The System then retrieves (Read) the member's status, active loans, and penalty history to evaluate eligibility. If the member has an active default or unpaid penalty, the system rejects the request, and the Treasurer informs the member.

If the member is eligible, the System checks the requested amount. If the amount is greater than 500,000 RWF, the request is routed to the Chairperson. If the Chairperson approves, or if the amount is under the threshold (auto-approval), the System creates (Create) a new loan record. It then updates (Update) the group's liquidity and the member's balance, and finally creates an audit log entry. The Treasurer then hands the funds to the Member. Records are never deleted to ensure a permanent financial history.

4. Supporting Management Decision-Making
This process directly supports management decision-making by providing real-time visibility into the group's liquidity and member risk profiles. Because the database enforces the rules, the Chairperson and Treasurer can trust the system's eligibility checks, allowing them to make faster, data-driven decisions about fund allocation without fear of manual calculation errors or human bias.